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GENERAL HEADQUARTERS
FAR EAST COMMAND
Military Intelligence Section, General Staff

26 November 1949

MEMORANDUM FO: Chief of Staff

SUBJECT: Staff Visit to Taiwan

1. The following preliminary report is based on observations made by an officer of G-2 Section during the recent Staff Visit to Taiwan. Further detailed information will be reported in the Daily Intell Summary.

2. Political:

Retired President CHIANG Kai-shek is actually exercising authority over Taiwan through Governor CHEN Cheng. Gen CHEN, Commander of the Nationalist Southeast Military and Political Headquarters, is an advocate of a clean administration on Taiwan and has made efforts to reduce Taiwanese animosity toward the Chinese. Most observers believe that CHEN is opposed to CHIANG Kai-shek's meddling in the political affairs of Taiwan, but is helpless because CHIANG controls the purse strings. CHEN is fearful that other Nationalist officials on Taiwan, especially Lt Gen SUN Li-jen, may become too powerful and undermine his position. CHEN will prevent this, even to the detriment of the defense of the island.

Although the recent land and currency reforms on Taiwan have done much to reduce the Taiwanese animosity toward the Chinese, much hatred still exists. The Taiwanese would like to throw off the yoke of the Chinese Nationalists, but at present the various resistance factions are not sufficiently united to carry out a successful revolt.

Lt Gen SUN Li-jen, Defense Commander of Taiwan, is the closest political rival to Gen CHEN Cheng. He is considered to be an extremely capable military leader and training commander, but has little political following. SUN enjoys the confidence of Generalissimo CHIANG Kai-shek but the majority of his followers are young U. S. trained military leaders. SUN is embittered toward CHEN Cheng because CHEN has repeatedly denied SUN the necessary control, funds and supplies to build up an adequate defense. SUN stated that the situation on Taiwan is hopeless under present conditions. He admitted that he had toyed with the idea of leading a revolt against the present regime, but the time has passed for such a revolt to be of any benefit to the non-Communist cause. Any attempted revolt at present would only serve to hasten the collapse of the Nationalist regime. SUN believes that the only solution is U. S. aid administered by U. S. military officials.

3. Military:

At present, the defense system of Taiwan is inadequate due primarily to a lack of unity between the services; the acute shortage of vehicles, ammunition, weapons, and funds; and the poor state of training of units recently returned from the mainland. Excellent defense plans have been prepared by U. S. and German trained Chinese officers, but at present, they lack the means to put these plans into effect. Lt Gen SUN Li-jen, defense Commander of Taiwan and Commander of the Training Center, is working feverishly to train sufficient troops. Rapid progress is being made in restraining the divisions recently returned from the Mainland in spite of opposition from senior officers of the "old school" who have no conception of modern warfare. At present U. S. training methods are employed. The concensus of U. S. officers who visited the training center is that SUN's efforts would do credit to many U. S. training centers. The Armored Force Training Center at Taichung is also up to the same high standard. SUN believes that with a small amount of U. S. aid, properly administered, he can re-train the equivalent of fifteen divisions by March 1950, which would be sufficient to defend the island.

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Two hundred and forty tanks have been ordered from the Commercial International Company of the USA, 100 of which have been received in very poor condition. The tank maintenance section is working night and day to repair the 100 tanks and expects to have them in operation within two months.

The Nationalist Air Force could be a potent defense weapon; however, it is suffering from incompetent high-level leadership. The high morale and fighting spirit observed at the ground forces training centers was not observed in the air force. Lt Gen CHOU Chih-jou, Commander of the CAF, is reported to be disgruntled over the Generalissimo accepting advice from Gen Chennault and has threatened to resign if it continues. The CAF is operating as a separate unit of the armed forces and so far has made little effort to tie in with the ground force defense plan.

The Nationalist Navy is also hesitant to cooperate with the other services in the defense plan of Taiwan. It is suffering from an acute shortage of fuel and ammunition and its effectiveness is doubtful at present.

General Comment: The Nationalists on Taiwan feel that it is imperative that the island be held as a base from which to continue the fight against Communism. They are positive that with U. S. aid, properly administered, they can defend Taiwan. Without outside aid, they feel that the situation is hopeless because their funds are rapidly dwindling and Taiwan cannot possibly support the Nationalist war effort. Most officials believe that Generalissimo CHIANG Kai-shek will grant any concession to the U. S. in order to obtain aid and that CHIANG Kai-shek is the only person presently capable of rallying the Chinese on the mainland. SUN is undoubtedly the most capable military leader on Taiwan and is doing his utmost to build up an adequate defense system, but is being hampered by officials who are afraid that he will gain too much power. The morale, fighting spirit, and degree of training of troops under SUN is the highest ever observed among Chinese soldiers. These troops can and will fight if they are properly equipped and given moral support.

4. G-2 Comments:

The conclusions reached in the above report have been confirmed by other sources.

The conflict of personalities may be understood better by a knowledge of their respective backgrounds:

Lt Gen SUN, Li-jen: A graduate of VMI, Purdue and the C&GSS, Ft Leavenworth.

Lt Gen CHOU, Chih-jou: Chinese trained ground officer, in command of the CAF because of his past personal loyalty to CHIANG Kai-shek.

Lt Gen CHEN Cheng: Also Chinese trained and a classmate of CHOU. CHEN is an advocate of the "old method" of war-lord training.

5. This is for information only.

C. A. W.